

MGT503-Principle of Management Lecture Wise Questions and Answers For Final Term Exam Preparation by Virtualians Social Network

➤ Lecture No. 23

Contingency planning

A contingency plan is a process in business continuity and risk management that prepares an organization to respond logically to an unplanned event. The contingency plan can be also used as an alternative for action if expected results fail to materialize. A contingency plan is sometimes referred to as "Plan B."

What is a Plan?

A plan is the means devised for attempting to reach a goal.

What is a goal?

A goal is a future target or end result that an organization wishes to achieve.

What is a mission statement?

A mission statement is a broad declaration of the basic, unique purpose and Scope of operations that distinguishes the organization from others of this type

Some Important points:

- Strategic plans are those that are organization wide, establish overall objectives, and position an organization in terms of its environment.
- Operational plans are plans that specify details on how overall objectives are to be achieved.
- Short-term plans are plans that cover one year or less.
- Long-term plans are those that extend beyond three years.
- Specific plans are those that are clearly defined and leave no room for interpretation.
- Directional plans are flexible plans that set out general guidelines.

Hierarchy of goals

Strategic goals are broadly defined targets or future end results set by top management.

Tactical goals are the targets or future end results usually set by middle management for specific departments or units.

Operational goals are those targets or future end results set by lower management that address specific, measurable outcomes required from the lower levels.

What is obstacles to planning and also define its steps in easy words.

Following can be obstacles to planning

- Lack of information/resources
- Uncertain environment
- Lack of commitment
- Time

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Time Span of Goals and Plans:

1. Strategic goals and plans generally involve time periods of 3-5 years.
2. Tactical goals and plans typically involve time periods of 1 to 3 years.
3. Operational goals and plans can be for as short a period as 1 week or as long as 1 year.

Characteristics of Well-Designed Goals:

- a. Written in terms of outcomes
- b. Measurable and quantifiable
- c. Clear as to a time frame
- d. Challenging but attainable
- e. Written down
- f. Communicated to all organizational members...

Developing Plans:

The process of developing plans is influenced by three contingency factors and by the planning approach

followed.

Contingency Factors in Planning

a. Manager's level in the organization.

Operational planning usually dominates the planning activities of lower-level managers. As managers move up through the levels of the organization, their planning becomes more strategic.

b. Degree of environmental uncertainty. The greater the environmental uncertainty, the more plans

should be directional and emphasis placed on the short term

c. Length of Future Commitments

The strengths of MBO are that it:

1. Aids coordination of goals and plans.
2. Helps clarify priorities and expectations.
3. Facilitates vertical and horizontal communications.
4. Fosters employee motivation.

The weaknesses of MBO are that it:

1. tends to falter without strong, continual commitment from top management.
2. Necessitates considerable training of managers.
3. Can be misused as a punitive device.
4. May cause overemphasis of quantitative goals.

The "spirit" of MBO is tremendous. In practice however, MBO has been successful only about 20

to 25 percent of the time, primarily because of lack of support from top management and poor goal-setting and communication skills.....

Advantages of MBO

1. Improved Planning
2. Coordination
3. Motivation and Commitment
4. Accurate Appraisals
5. Executive Development
6. Organizational change and Development

➤ **Lecture No. 25**

Strategic management:

Is a process through which managers formulate and implement strategies geared to optimizing goal achievement, given available environmental and internal conditions? Strategic management is that set of managerial decisions and actions that determines the long-run performance of an organization. It entails all of the basic management functions—planning, organizing, leading, and controlling.

Purposes of strategic management:

1. One reason strategic management is important is because it's involved in many of the decisions that managers make.
2. Another reason is that studies of the effectiveness of strategic planning and management have found that, in general, companies with formal strategic management systems had higher financial returns than those companies with no such systems.
3. Strategic management has moved beyond for-profit organizations to include all types of organizations, including not-for-profit.

The strategic management process is made up of several components

1. Strategy formulation is the part of the strategic management process that includes:

- a. Identifying the mission and strategic goals.
- b. Conducting competitive analysis
- c. developing specific strategies

2. Strategy implementation is the part of the strategic management process that focuses on:

- a. Carrying strategic plans.
- b. Maintaining control over how those plans are carried out.

Define strategic management and how it entails the four management functions.

Strategic management is that set of managerial decisions and actions that determines the long-run performance of an organization. It entails all of the basic management functions because the organization's strategies must be planned, organized, put into effect, and controlled.

Mid-Term Planning

The primary function of strategic management is to develop medium, or mid-term, strategies for the organization. Mid-term strategies are those which focus on the organizational leader's vision for the company with the mid-term range of 2 to 4 years, as opposed to short-term or long-term strategies. The strategic management process should be reviewed and adjusted periodically to ensure that these medium-term plans remain relevant to the organization's desired position within the industry.

Alignment

Another essential function of strategic management is the alignment of day-to-day work activities with the overall mission of the organization. The strategic management process typically begins with the development of a mission statement, which articulates the organization's reasons for being in existence. The mission statement defines why and how the business does what it does and sets the tone for the organization.

Sustainable Competitive Advantage

The creation and maintenance of a sustainable competitive advantage is another essential function of strategic management. This is commonly accomplished through the use of a SWOT analysis, gap analysis or a combination of both. Through the use of the SWOT analysis, leaders may identify internal strengths and weaknesses as well as external opportunities and threats which may help or hinder the organization's ability to maintain a sustainable competitive advantage. Gap analysis, meanwhile, measures the gap between the organization's current position and its desired position.

Strategy Implementation

No amount of strategic planning will be successful without effective implementation. The final function of strategic management is the implementation of strategies conceived throughout the process. These strategies -- which begin as abstract concepts at the uppermost echelons of the organization -- are finally disseminated downward through the ranks for implementation at the operational level. Strategy implementation typically occurs through the use of policies and procedures developed to align the day-to-day functional and operational activities of the organization with its mission statement.

➤ **Lecture No. 26**

THE STRATEGIC MANAGEMENT PROCESS

The strategic management process is an eight-step process that encompasses strategic planning, implementation, and evaluation.

A. The first step is identifying the organization's current mission, objectives, and strategies.

B. Step 2 is analyzing the external environment. It's important to analyze the environment because, to a large degree, it defines management's strategic options

C. The third step is identifying opportunities and threats. After analyzing the external environment, managers need to assess what opportunities to exploit and what threats to avoid.

Strengths and weaknesses apply to internal characteristics.

- Strength is an internal characteristic that has the potential of improving the organization's competitive situation.
- A weakness is an internal characteristic that leaves the organization potentially vulnerable to strategic moves by competitors.

Opportunities and threats are found in the external environment.

- An opportunity is an environmental condition that offers significant prospects for improving an organization's situation relative to competitors.
- A threat is an environmental condition that offers significant prospects for undermining an organization's competitive situation.

Lecture No. 27

What is the concept of Backward and Forward Integration? Explain it with example?

Vertically integrated companies are united through a common owner; this applies particularly in supply chain management. It also refers to the extent to which a firm owns its upstream suppliers and downstream buyers.

For instance, ExxonMobil, a multinational oil company, has a vertically integrated structure. This means that ExxonMobil controls the entire process from locating crude oil deposits, extracting and transporting it and finally to distributing the fuel for final sale to customers.

Vertical integration can be classified as backward vertical integration and forward vertical integration. Backward integration refers to when the company controls some of the inputs used in the manufacturing of its products. For instance, Ford manufactures its own car parts and cars.

Forward integration is when the company controls the distribution centers and/or retailers where its products are sold. For instance, Disney, that provides family entertainment, acquired ABC (American Broadcasting Company) which is a broadcasting company with cable and entertainment networks.

Shortly brief "SBU"?

An independent division or organizational unit, small enough to be flexible and large enough to implement control over most of the factors affecting its long-term performance. A firm can be broken down into several business units based on product line, division or some other profit center within the parent company.

Core Competencies

A unique ability that a company acquires from its founders, or develops and that cannot be easily imitated. Core competencies are what give a company one or more competitive

advantages, in creating and delivering value to its customers in its chosen field, Also called core capabilities or distinctive competencies.

➤ **Lecture No. 28**

Entrepreneur

An entrepreneur initiates and brings about change in an organization. Also, an entrepreneur is a person who takes financial risk to operate/organize a business (est.) to create value. Some famous entrepreneurs are Walt Disney, Steve Jobs, and Bill Gates etc.

Manager

A good manager must perform all management functions effectively and efficiently. Efficiency is the means of getting the most output from limited resources and effectiveness includes those work activities that will help the organization reach its goals. So, an efficient manager is one who can not only meet project deadlines but run well organized meetings and works well with people.

Business Level Strategy

There are three level of strategies; corporate, business and functional level.

Business level strategy focuses on developing plans and goals in a particular business with its own set of competitors that can reasonably be managed independently. For instance, Black & Decker manufactures small kitchen appliances and power tools for home and industrial markets. External environment will affect these two segments differently and an analysis of the internal environment may reveal that the company resources suggest different markets for both segments.

Difference between “entrepreneurship and entrepreneur”.

An entrepreneur initiates and brings about change in an organization. Also, an entrepreneur is a person who takes financial risk to operate/organize a business (est.) to create value. Some famous entrepreneurs are Walt Disney, Steve Jobs, and Bill Gates etc.

Entrepreneurship is the process in which an individual or a group of individuals identify and pursue an opportunity by planned effort to satisfy needs and wants through innovation and uniqueness. For instance, Walt Disney identified the entertainment needs of the masses and introduced their amusement park for millions of people.

➤ **Lecture No. 29**

Organizing

Organizations are experimenting with different approaches to organizational structure and design.

Organizational structure can play an important role in an organization's success. The process of ORGANIZING—the second management functions—is how an organization's structure is created.

The nature of organization structure

Managers are seeking structural designs that will best support and allow employees too effectively and efficiently do their work. Organizing is the process of creating an organization's structure.

Organization structure

Organization Structure is the formal pattern of interactions and coordination designed by management to

Link the tasks of individuals and groups in achieving organizational goals. An organizational structure is

The formal framework by which job tasks are divided, grouped, and coordinated.

1. This formal pattern designed by management is to be distinguished from the Informal pattern of interactions that simply emerges within an organization.

2. Organization structure consists primarily of four elements:

- a. Job design
- b. Departmentalization
- c. Vertical coordination
- d. Horizontal coordination.....

➤ **Lecture No. 30**

Building Blocks of Organizing

1. Job Design
2. Work Specialization

Job design

Job design is an essential part of organizational structure.

Job design is the specification of task activities, usually repeated on a regular basis, associated with each particular job.

- Task activities need to be grouped in reasonably logical ways for each job.
- The way the jobs are configured influences employee motivation.

Work specialization

Work specialization is the degree to which the work necessary to achieve organizational goals is broken down into various jobs.

Types of Departmentalization

Departmentalization is the clustering of individuals into units and units into departments and larger units in order to facilitate achieving organizational goals.

1. An organization design is an overall pattern of departmentalization.
2. There are four major patterns of departmentalization.
 - The functional structure groups jobs into units based upon similarity of expertise, skills, and work activities, e.g., marketing, accounting.
 - b. The divisional structure groups jobs into units according to the similarity of products or markets.

Some Important Definitions:

- Divisional structure is a type of departmentalization in which positions are grouped according to similarity of products, services, or markets.
- Functional structure is a type of departmentalization in which positions are grouped according to their main functional (or specialized) area.

- Hybrid structure is a form of departmentalization that adopts parts of both functional and divisional structures at the same level of management.
- A matrix structure is a type of departmentalization that superimposes a horizontal set of divisional reporting relationships onto a hierarchical functional structure.

➤ **Lecture No. 31**

Vertical coordination

Vertical coordination is the linking of activities at the top of the organization with those at the middle and lower levels in order to achieve organizational goals.

Formalization

Formalization is the degree to which written policies, rules, procedures, job descriptions, and other documents specify what actions are (or are not) to be taken under a given set of circumstances.

Span of management or span of control

Span of management or span of control is the number of subordinates who report directly to a specific manager.

1. Managers should have neither too many nor too few subordinates.
2. Research indicates that there is no universally correct span of management for all managers. Rather, spans of management can be narrower or broader depending on the circumstances of each managerial job.
 - a. Subordinates' work is such that little interaction with others is required.
 - b. Managers and/or their subordinates are highly competent.
 - c. The work of subordinates is similar.
 - d. Problems are infrequent.

Downsizing

Downsizing is the process of significantly reducing the layers of middle management, expanding the spans of control, and shrinking the size of the work force. e. Subordinates are located within close physical proximity of one another.

- f. Managers have few non-supervisory duties to perform.

- g. Managers have additional help such as secretaries or assistants.
- h. The work is challenging enough to motivate subordinates to do a good job.

Restructuring

Restructuring is the process of making a major change in organization structure that often involves reducing management levels and also possibly changing some major components of the organization through divestiture and/or acquisition.

Centralization

Centralization is the extent to which power and authority are retained at the top organizational levels.

➤ Lecture No. 32

Job Rotation

Job rotation is the practice of periodically shifting workers through a set of jobs in a planned sequence.

- a. One purpose of job rotation is to combat boredom, but its success is short-lived if tasks are too simple.
- b. Another purpose of job rotation is cross training so that there is maximum flexibility in job assignments.
- c. A related purpose is employee development so that employees increase their capabilities and understanding of various aspects of the organization.
- d. A potential problem is that rotating individuals may be treated as temporary helps and their loyalty perceived as questionable.

Job Enlargement

Job enlargement is the allocation of a wider variety of similar tasks to a job in order to make it more challenging.

- Job enlargement broadens job scope, the number of different tasks an employee performs in a particular job.
- The problem is that if additional simple tasks are added, worker boredom may persist. Too, lower efficiency, mental overload, increased errors, and other problems may develop.

Job Enrichment

Job enrichment, pioneered by Frederick Herzberg, is the process of upgrading the job-task mix in order to increase significantly the potential for growth, achievement, responsibility, and recognition.

ORGANIZATIONAL DESIGN DECISIONS

Organizations aren't structured the same way. Top managers put a lot of thought into how best to design the organization's structure. That "best" design depends on four contingency variables: the organization's strategy, size, technology, and degree of environmental uncertainty.

There are two generic models of organizational design.

- A mechanistic organization is an organizational structure that is characterized by high specialization, rigid departmentalization, narrow spans of control, high formalization, a limited information network, and little participation in decision making by low-level employees.
- An organic organization is a structure that is highly adaptive and flexible with little work specialization, minimal formalization and little direct supervision of employees.
- When is each design favored? It "depends" on the contingency variables.

Some Important Definitions:

Unit production is the production of items in units or small batches.

Mass production is large-batch manufacturing.

Process production is continuous-process production.

Team-based structures:

One of the newer concepts in organizational design is the **team-based structure**, which is an organizational structure made up of work groups or teams that performs the organization's work.

Project and matrix structures:

Another variation in organizational arrangements is based on the fact that many of today's organizations deal with work activities of different time requirements and magnitude.

- One of these arrangements is the **matrix organization** that assigns specialists from different functional departments to work on one or more projects being led by project managers.
- b. Another of these designs is the **project structure**, which is a structure in which employees are permanently assigned to projects.

Autonomous Internal Units:

Some large organizations have adopted a structure that's described as **autonomous internal units**, a design in which there are independent, autonomous decentralized business units, each with its own products, clients, competitors, and profit goals.

The Boundary less Organization:

Another approach to organizational design is the **boundary less organization**, which describes an organization whose design is not defined by, or limited to the horizontal, vertical, or external boundaries imposed by a predefined structure.

Learning Organization:

An organization that facilitate the lifelong learning and development of its employees while transforming itself to respond to changing demands and needs of market.

➤ Lecture No. 33

The nature of motivation

Being able to effectively motivate employees is a challenge that managers face in all types and sizes of organizations. "Everything that we give to our workers gets returned to us in terms of efficiency, quality, loyalty, and innovation."

Motivation

Motivation is the willingness to exert high levels of effort to reach organizational goals, conditioned by the effort's ability to satisfy some individual need.

- Effort is a measure of intensity or drive. High levels of effort are unlikely to lead to favorable job performance unless the effort is channeled in a direction that benefits the organization.
- A need is an internal state that makes certain outcomes appears attractive. An unsatisfied need creates tension that stimulates drives within an individual. These drives generate a search behavior to find particular goals that, if attained, will satisfy the need and reduce the tension.

Hence motivation

Hence motivation is the force that energizes behavior, gives direction to behavior, and underlies the tendency to persist.

- A person's motivation is not directly measurable, but must be inferred from behavior.
- Performance is a function of ability, motivation and working conditions.
- Besides hiring individual with ability to do the work, managers have the challenge to provide working conditions that nurture and support individual motivation to work toward organization goals.

Intrinsic Motivators

A person's internal desire to do something for his satisfaction , respect , prestige or loyalty.

Extrinsic Motivators

Factors of motivation that comes from outside (environment) or organization like pay, bonuses, tangible benefits etc.

From Theory to Practice: Suggestions for Motivating Employees

Several suggestions for motivating employees are given and are based on what is currently known about motivation.

- Recognize individual differences in terms of needs, attitudes, personality, and other important individual factors.
- Match people to jobs by identifying what needs are important to individuals and trying to pro jobs that allow them to fulfill those needs.

- Use goals because the literature on goal setting suggests that managers should ensure that employees have hard, specific goals and feedback on how well they're doing in pursuit of goals.
- Ensure that goals are perceived as attainable. Employees who see goals as unattainable will lower their levels of effort.
- Individualize rewards. Because employees have different needs, what is a reward and reinforce to one may not work for another.
- Link rewards to performance by making rewards contingent on desired levels of performance
- Check the system for equity. Employees should perceive that the rewards or outcomes are the inputs given.
- Don't ignore money. The allocation of performance-based increases, piecework bonuses, and pay incentives is important in determining employee motivation.

➤ Lecture No. 34

Maslow's Need Theory

According to Abraham Maslow's **hierarchy of needs theory**, one of the most widely known theories of motivation, individual needs form a five-level hierarchy.

- ❖ Maslow's hierarchy of needs from the most basic to the highest.
 - **Physiological needs** are basic and include needs for food, water, and shelter.
 - **Safety needs** pertain to the desire to be safe, secure and free from threats to our existence.
 - **Belongingness needs** involve the desire to affiliate with and be accepted by others.
 - **Esteem needs** are related to the two-pronged desire to have a positive self-image and to have our contributions valued and appreciated by others.
 - **Self-actualization needs** pertain to the requirement of developing our capabilities and reaching our full potential.
- ❖ Needs at one level do not have to be completely fulfilled before the next level becomes relevant.

- ❖ As needs on one level is fulfilled, they cease to act as motivators and tension develops to fulfill needs at the next level.
- ❖ Recent studies have raised questions as to whether the hierarchical aspect of Maslow's theory is applicable to everyone and whether there might be fewer than five levels of needs.

Analysis and Weakness of Theory

- Five levels of need are not always present.
- Order of needs and hierarchy may not be the same for all employees.
- There are certainly cultural differences which the theory did not take care.
- Analyzing the theory in country and cultural context, for example in China, the hierarchy of needs found was different than Maslow's theory.

➤ Lecture No. 35

There are different theories of motivation. How managers adopt these theories? It can possible to adopt all the theories by a manager?

These theories help you to understand how to motivate employees. A manager has to use the theory according to the situation and he can motivate employees by using combination of multiple theories.

In functional structure, how may lose the sight of organization goals /issues? Explain and also explain accountability and performance difficult to monitor???
In this lecture every department has a manager so how these difficulties arise?

- ❖ Because each functional level has its own goals, therefore sometimes members of functional structure give priority to own goals rather than overall organizational goals. For instance, marketing department market a product with huge promise of high delivery rates whereas organizational goal is to produce reliable products which hinders high

production/delivery rates.

- ❖ I think if tasks are well defined then they can be easily monitored. Otherwise, they are difficult to measure.
- ❖ Management is all about getting things done and human errors are part of the process. Since we are not perfect, these human errors/mistakes (in POLCA or any process) can cause problems in group members, processes and department. It is a manager's job to deal with those problems and find a win-win solution.

➤ **Lecture No. 36**

Expectancy Theory

Expectancy Theory is the theory that an individual tends to act in a certain way based on the expectation that the act will be followed by a given outcome and on the attractiveness of that outcome to the individual.

Important relationship to Expectancy Theory

1. Effort-performance linkage (expectancy) is the probability perceived by the individual that exerting.
2. A given amount of effort will lead to a certain level of performance.
3. Performance-reward linkage (instrumentality) is the degree to which an individual believes that performing at a particular level is instrumental in, or will lead to, the attainment of a desired outcome.
4. Attractiveness of the reward (valence) is the importance that the individual places on the potential outcome or reward that can be achieved on the job.

There are four features inherent in the theory.

- What perceived outcomes does the job offer the employee?

- How attractive do employees consider these outcomes to be?
 - What kind of behavior must the employee exhibit to achieve these outcomes?
 - How does the employee view his or her chance of doing what is asked?
5. The key to understanding expectancy theory understands an individual's goal and the linkage between effort and performance, between performance and rewards, and between rewards and individual goal satisfaction.

Open Book Management

Open-book management is a motivational approach in which an organization's financial statements (the "books") are opened to and shared with all employees.

➤ Lecture No. 37

Motivating the "New Workforce i.e. Knowledge Professionals."

Another current motivation issue revolves around motivating the "new workforce." These special groups present unique motivational challenges to managers. These professionals possess specialty knowledge of markets, of customers, of supplier, of software, of hardware, of technology and are very important to run the organizations smoothly in 21st century.

Leadership

The recognition of the important role that leadership plays in organizational performance is widely acknowledged by managers everywhere. Leadership is what makes things happen in organizations.

MANAGERS VERSUS LEADERS

There are distinctions between managers and leaders. Managers are appointed and have legitimate power within the organization.

Leaders

Leaders are those persons who are able to influence others and who possess managerial authority.

Leadership

Leadership, then, is the ability to influence a group toward the achievement of goals.

How leaders influence others Leadership

The foundation of the management function of leading is the process of influencing others toward the achievement of organizational goals.

Power

Power is the capacity to affect the behavior of others.

There are different types of power depending upon their sources originally identified by French and Raven.

- ❖ **Legitimate power** stems from a position's placement in the managerial hierarchy and the authority vested in the position.
- ❖ **Reward power** is based on the capacity to control and provide valued rewards to others.
- ❖ **Coercive power** is based on the ability to obtain compliance through fear of punishment.
- ❖ **Expert power** is based on the possession of expertise that is valued by others.
- ❖ **Information power** result from access to and control over the distribution of important information about organizational operations and future plans.
- ❖ **Referent power** results from being admired, personally identified with, or liked by others.

➤ Lecture No. 38

Leadership Styles:

There are three types of Leadership styles:

❖ **Autocratic**

Autocratic leaders tend to make unilateral decisions, dictate work methods, worker knowledge about goals to just the next step to be performed, and sometime give feedback that is punitive.

❖ **Democratic**

Democratic leaders tend to involve the group in decision making, let the group determine work methods, make overall goals known, and use feedback opportunity for helpful coaching.

❖ **Laissez-faire**

Laissez-faire leaders generally give the group complete freedom, provide necessary materials, participate only to answer questions, and avoid giving feedback.

Michigan Studies

Satisfaction levels tended to be higher in the democratically led groups.

The Michigan studies compared leadership within groups already identified as effective or as ineffective.

1. A continuum was developed from employee-centered to job-centered approaches.
2. With the employee-**centered** approach, managers channel their main attention to the Human aspects of subordinates' problems and to the development of an effective work group dedicated to high performance goals.
3. With the **job-centered** approach (or production-centered approach), leaders divide the work into routine tasks, determine work methods, and closely supervise workers to ensure that the methods are followed and productivity standards are met.
4. The outcomes of the study were mixed, but they sometimes showed that the high producing work units tended to have job-centered supervisors.

Initiating structure

Initiating structure is the degree to which a leader defines roles of subordinates in terms of achieving unit goals.

Consideration

Consideration is the degree to which a leader builds mutual respects their ideas, and shows concern for their feelings.

➤ Lecture No. 39

Transactional Leaders

Transactional Leaders are leaders who guide or motivate their followers in the direction of established goals by clarifying role and task requirements.

Transformational leaders

Transformational Leaders are leaders who provide individualized consideration and intellectual Stimulation and possess charisma.

Transformational leadership is built on top of transactional leadership.

The evidence supporting the superiority of transformational leadership over the transactional Variety is overwhelmingly impressive.

Charismatic leadership

Charismatic leadership theory is an extension of attribution theory and suggests that followers make attributions of heroic or extraordinary leadership abilities when they observe certain behaviors.

❖ Five personal characteristics of charismatic leaders have been identified.

- Have a vision
- Are able to articulate that vision
- Are willing to take risks to achieve that vision
- Are sensitive to both environmental constraints and follower needs
- Exhibit behaviors that are out of the ordinary

❖ An increasing amount of research shows impressive correlations between charismatic leadership and high performance and satisfaction among followers.

❖ Most experts think that individuals can be trained to exhibit charismatic behaviors

➤ Lecture No. 40

What is a Group?

A **group** is defined as two or more interacting and interdependent individuals who come together to achieve particular objectives.

- Groups differ from mere aggregates of individual because the latter have no interdependence, interaction, or common goal.
- Groups differ from organizations because the latter involve systematic efforts and are engaged in the production of goods and services.
- Teamwork occurs when groups are able to work efficiently and effectively together to achieve organizational goals.

Types of Group:

❖ Formal Group

Formal Group is a group officially planned and created by an organization for a specific purpose.

▪ Command Or Functional Group

Command Or functional group is a formal group consisting of a manager and all the subordinates who report to that manager.

Each identifiable work group consisting of manager and subordinates is a command group.

A linking is an individual who provides a means of coordination between command groups at two different levels by fulfilling a supervisory role in the lower-level group and a subordinate role in the higher-level group.

❖ Informal Group

Informal groups are natural social formations that appear in the work environment. An informal group is a group that is established by employees, rather than by the organization, in order to serve group members' interests or social needs. Informal groups are unplanned groups.

- **Interest Group**

An interest group is an informal group created to facilitate employee pursuits of common concern.

- **Friendship Group**

A friendship group is an informal group that evolves primarily to meet employee social needs.

➤ **Lecture No. 41**

Work Group Inputs

- ❖ Work group inputs are those that are necessary for the group to operate.
- ❖ The composition of a work group has a strong bearing on the group's ultimate success, so careful consideration should be made in making group assignments.
- ❖ Characteristics of members that influence group effectiveness include task-relevant expertise, interpersonal skills, and diversity in the makeup of the group to include sufficient individual skills and interest.
- ❖ Individuals may be attracted to a group because of friendships, interest in the activities of the group, shared values, the need for affiliation, and the need to fulfill objectives outside those of the group.

Informal Leader

An **informal leader** is an individual, other than the formal leader, who emerges from a group, has major influence, and is perceived by group members as a leader.

Group cohesiveness

Group cohesiveness is the degree to which members are attracted to a group, are motivated to remain in the group, and are mutually influenced by one another.

- ❖ A high degree of cohesiveness in a group can have consequences on group performance.
- Members tend to communicate more frequently and be more sensitive to one another, leading to greater job satisfaction.
- Cohesiveness can also lead to giving more aid to other group member, a form of organizational citizenship.
- Aggression among groups may arise.

Stages of Groups Development

- ❖ It has been proposed that groups progress through a series of five stages, but may regress with changes in membership.

Stage 1: Forming occurs as group members attempt to assess the ground rules that will apply to a task and to group interaction.

Stage 2: Storming occurs as group members experience conflict with one another as they locate and attempt to resolve differences of opinion regarding key issues.

Stage 3: Norming occurs as group members begin to build group cohesion, as well as develop a consensus about norms for performing a task and relating to one another.

Stage 4: Performing occurs as energy is channeled toward a task and as norms support teamwork.

Stage 5: Adjourning occurs as group members prepare for disengagement as the group nears successful completion of its goals.

- ❖ Research indicates that these five stages apply primarily to newly formed, relatively unstructured groups.

➤ Lecture No. 42

Nature of Managerial Communication

- ❖ **Communication** is the transfer and understanding of meaning.
 - If no information or ideas have been conveyed or transferred, communication hasn't.
- ❖ For communication to be successful, the meaning must be imparted and understood.
 - Good communication does not require agreement with the message, just clear understanding message.
 - Managerial communication encompasses both **interpersonal communication** (between more people) and **organizational communication** (all the patterns, networks, and communication within an organization).
 - **Communication** and associated **interpersonal processes** are important ingredient organizational effectiveness.
 - **Communication** is the exchange of messages between people for the purpose of common meanings.

Managers use two types of communication in their work.

1. **Verbal communication** is the use of words to communicate.
 - Written communication includes letters, memoranda, repo policy manuals, etc.
 - Disadvantage includes the fact that the conversations may consuming and difficult to terminate, and that additional be spent to document what was said.
2. **Nonverbal communication** is communication by means of elements and behaviors that are not coded into words.

Basic Components of Communication Process

1. **The sender** is the initiator of the message.

2. Encoding is the process of translating the intended meaning into symbols.

- ❖ Symbols include words and gestures.
- ❖ The sender's choice of symbols depends upon
 - Sender encoding skills.
 - Assessments of the ability of the intended receiver to understand various symbols
 - Judgments regarding the appropriateness of the use of certain symbols
 - Past experience in similar situations
 - Job status and education
 - Emotional state at the time of the communication attempt
- ❖ **The message** is the encoding-process outcome, which consists of verbal and nonverbal symbols that have been developed to convey meaning to the receiver.
 - The **medium** is the method used to convey the message to the intended receiver, e.g., telephone, meeting, formal report.
 - Factors to consider when selecting a medium include relative speed, cost, intelligibility, and convenience, and timing, flow of communication, feedback options, interpersonal dynamics, and documentation.
- ❖ **The receiver** is the person with whom the message is exchanged.
 - **Decoding** is the process of translating the symbols into the interpreted message.
 - Effective communication results in the senders and receivers achieving a common meaning.
 - The receiver needs to consider the medium and the context of the message.
 - **Noise** is any factor in the communication process that interferes with exchanging messages and achieving common meaning.
 - **Feedback** is the basic response of the receiver to the interpreted message.

- The receiver becomes the sender during feedback.
- Feedback provides preliminary information to the sender about the su3) **One-way communication** is the communication that results when the does not allow for feedback.
- ❖ **Two-way communication** is the communication that results when the explicitly includes feedback.

➤ Lecture No. 43

Organizational communication network:

It is the pattern of information flow among task group members.

Organizational communication channels:

- ❖ **Communication channels** are various patterns of organizational communication flow that represent potential established conduits through which managers and other organization members can send and receive information.
- ❖ **Vertical communication** is a communication that flows from a higher level to one or more lower levels in the organization.

Downward communication

Downward communication is a vertical communication that flows from a higher level to one or more lower levels in the organization.

Upward communication

Upward communication is the vertical flow of communication from a lower level to one or more higher levels in the organization.

Horizontal communication

Horizontal communication is lateral or diagonal message exchange either within work-unit boundaries, involving peers who report to the same supervisor, or across work-unit boundaries, involving individuals who report to different supervisors.

Networked Systems

1. An electronic mail system is a mail system that allows high-speed exchange of written messages through the use of computerized text-processing and communication networks.

2. Voice mail is the recording systems which enable senders to leave messages for receivers by telephone.

3. Teleconferencing is the simultaneous communication among a group by telephone or via computer using specially designed software. The software is often referred to a “groupware.”

4. Videoconferencing is the holding of meetings with individuals in two or more locations by means of closed-circuit television.

5. Electronic data interchange (EDI) is a way for organizations to exchange standard business transaction documents, such as invoices or purchase orders, using direct computer-to-computer networks.

6. Intranet systems are organizational communication networks that use Internet technology and are accessible only by organizational employees.

7. Extranet systems are organizational communication networks that use Internet technology and allow authorized users inside the organization to communicate with certain outsiders such as customers and vendors.

Wireless Capabilities

Wireless communication depends on signals sent through air or space without any physical connection using things such as microwave signals, satellites, radio waves and radio antennas, or infrared light rays.

➤ Lecture No. 44

CONTROLLING AS A MANAGEMENT FUNCTION

Controlling is that process of regulating organizational activities so that actual performance conforms to expected organizational goals and standards. While interrelated with all of the other management functions, a special relationship exists between the planning function of management and controlling. Planning, essentially, is the deciding of goals and objectives and the means of reaching them.

Control as a management process

1. **Controlling**, one of the four major functions of POLCA management, is the process of regulating organizational activities so that actual performance conforms to expected organizational standards and goals.
2. **A control system** is a set of mechanisms that are designed to increase the probability of meeting organizational standards and goals.
3. Controls can play five important roles in organizations.

Control responsibilities differ according to managerial level.

1. **Strategic control** involves monitoring critical environmental factors that could affect the viability of strategic plans, assessing the effects of organizational strategic actions, and ensuring that strategic plans are implemented as intended.
2. **Tactical control** focuses on assessing the implementation of tactical plans at departmental levels, monitoring associated periodic results, and taking corrective action as necessary.
3. **Operational control** involves overseeing the implementation of operating plans, monitoring day-to-day results, and taking corrective action when required.

Designing Control Systems:

- A. **Control** is the process of monitoring activities to ensure they are being accomplished as planned and of correcting any significant deviations. There are three different approaches to designing organizational control systems.

- B. **Market control** is an approach that emphasizes the use of external market mechanisms to establish the standards used in the control system.
- C. **Bureaucratic control** is an approach that emphasizes organizational authority and relies on administrative rules, regulations, procedures, policies, standardization of activities, well-defined job descriptions, and other administrative mechanisms to ensure that employees exhibit appropriate behaviors and meet performance standards.
- D. **Market control** relies on market mechanisms to regulate prices for certain clearly specified goods and services needed by an organization.
- E. **Clan control** is an approach to designing control systems in which employee behaviors are regulated by the shared values, norms, traditions, rituals, beliefs, and other aspects of the organization's culture.

➤ Lecture No. 45

Types of Controls:

1. **Feed forward Control** focuses on the regulation of inputs to ensure that they meet the standards necessary for the transformation process.
2. **Concurrent Control** involves the regulation of ongoing activities that are part of the transformation process to ensure that conform to organizational standards.
3. **Feedback control** is regulation exercised after a product or service has been completed in order to ensure that the final output meets organizational standards and goals.

What Is Organizational Performance?

Performances the end result of an activity. Managers are concerned with organizational performance the accumulated end results of all the organization's work processes and activities.

Measures of Organizational Performance

Employees need to see the connection between what they do and the outcomes. The most frequently used organizational performance measures include organizational productivity, organizational effectiveness, and industry rankings.

1. **Organizational productivity** is the overall output of goods or services produced divided by the inputs needed to generate that output. It's the management's job to increase this ratio.
2. **Organizational effectiveness** is a measure of how appropriate organizational goals are and how well an organization is achieving those goals.
3. **Economic value added** is a tool for measuring corporate and divisional performance by calculating after-tax operating profit minus the total annual cost of capital.
4. **Market value added** adds a market dimension by measuring the stock market's estimate of the value of a firm's past and expected capital investment projects.
5. **Management information system** is a system that provides managers with needed and usable information on a regular basis.

What is Benchmarking?

Benchmarking is the search for the best practices among competitors or non-competitor that lead to their superior performance.

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Question: Who are Managers?

Answer: A manager is someone who works with and through other people by coordinating their work activities in order to accomplish organizational goals.

Question: What do managers do?

Answer: We can focus on following five categorization schemes while making mind what do managers do: Traditionally, a manager's job has been classified according to the following four functions i.e.: Planning: determining organizational goals and the means for achieving them Organizing: deciding where decisions will be made, who will do what jobs and tasks, and who will work for whom Leading: inspiring and motivating workers to work hard to achieve organizational goals Controlling: monitoring progress towards goal achievement and taking corrective action when needed Good managers are those who assure themselves to perform these functions

Question: What is an Organization?

Answer: An entity where two or more persons work together to achieve a goal or a common purpose is called Organization.

Question: What are the four major approaches to the study of management?

Answer: The four major approaches to the study of management are scientific, general administrative, quantitative, and organizational behavior. Each is correct and makes an important contribution to our overall understanding of management.

Question: Discuss the three important themes in the definition of entrepreneurship?

Answer: First, is the pursuit of opportunities, because entrepreneurship is about pursuing environmental trends and changes that no one else has seen or paid attention to. Second, is innovation, because entrepreneurship involves changing, revolutionizing, transforming, and introducing products or services or new ways of doing business. Third, is growth, because entrepreneurs are not content to stay small or to stay the same in size.

Question: What are the functions of management in the hierarchy?

Answer: A number of aspects of the management process differ within the hierarchy. The importance of each of the functions of management differs from one managerial level to another.
A. Planning tends to be more important for top-level managers. B. Organizing tends to be more important for both top and middle-level managers. C. Leading is more important for first-line managers. D. Controlling is important among all levels of the hierarchy.

Question: What is scientific management?

Answer: Scientific management is defined as the use of the scientific method to define the “one best way” for a job to be done.

Question: Quantitative Approach to Management:

Answer: The quantitative approach involves the use of quantitative techniques to improve decision making. This approach has also been labeled operations research of management science. It includes applications of statistics, optimization models, information models, and computer simulations

Question: What is total quality management?

Answer: Total quality management is a philosophy of management that is driven by customer needs and expectations and focuses on continual improvement in work processes

Question: What is objective of total quality management(TQM)?

Answer: The objective of TQM is to create an organization committed to continuous improvement

Question: What is system?

Answer: A system is a set of interrelated and interdependent parts arranged in a manner that produces a unified whole.

Question: Describe Frederick W. Taylor’s contributions to scientific management?

Answer: Frederick Taylor defined four principles of management—develop a science for each element of an individual’s work; scientifically select, train, teach, and develop each worker; cooperate with workers to ensure that all work is done in accordance with the principles of science; and divide work and responsibility almost equally between management and workers.

Question: Explain Frank and Lillian Gilbreth’s contributions to scientific management?

Answer: Frank and Lillian Gilbreth studied work arrangements to eliminate wasteful hand and body motions. They also experimented with the design and use of proper tools and equipment for optimizing work performance.

Question: What is organizational behavior?

Answer: Organizational behavior is the field of study concerned with the actions or behavior of people at work.

Question: How is globalization affecting the way managers do their jobs?

Answer: Management is no longer constrained by national borders, and managers in organizations of all sizes and types around the world are faced with the opportunities and challenges of operating in a global market.

Question: What is social responsibility?

Answer: Social responsibility is an obligation, beyond that required by the law and economics, for a firm to pursue long-term goals that are good for society

Question: What are two opposing views of social responsibility?

Answer: There are two opposing views of what social responsibility is. 1. The classical view is the view that management's only social responsibility is to maximize profits. 2. The socioeconomic view is the view that management's social responsibility goes well beyond the making of profits to include protecting and improving society's welfare.

Question: What is E-business?

Answer: E-business (electronic business) is a comprehensive term describing the way an organization does its work by using electronic (Internet-based) linkages with its key constituencies (employees, managers, customers, suppliers, and partners) in order to efficiently and effectively achieve its goals.

Question: Compare and contrast national culture and organizational culture?

Answer: Like organizational culture, national culture is shared by all or most inhabitants of a country and shapes their behavior and the way they see the world. Organizational and national cultures differ in that national culture has a greater effect on employees than does organizational cul-ture

Question: What is Management?

Answer: Simply speaking, management is what managers do. However, this simple statement doesn't tell us much. We define management as the process of coordinating and integrating work activities so that they are completed efficiently and effectively with and through other people.

Question: What is mega-environment?

Answer: The mega-environment, or general environment as it is sometimes called, is that segment of the external environment that reflects the broad conditions and trends in the societies within which an organization operates.

Question: what is task environment?

Answer: The task environment is that segment of the external environment made up of specific outside elements (usually organizations) with which an organization interfaces in the course of conducting its business

Question: what are the different ways for employees to learn an organization's culture?

Answer: Employees "learn" an organization's culture in different ways. 1. Organizational stories are one way that employees learn the culture. These stories typically involve a narrative of significant events or people. 2. Rituals are repetitive sequences of activities that express and reinforce the key values of the organization, what goals are most important, which people are important.

Question: In which areas psychologists help industry according to Hugo Munsterbeg ?

Answer: He argued that psychologists could help industry in three major areas: a. Finding ways to identify individuals best suited to particular jobs. B. Identifying the psychological conditions for optimum efficiency. C. Finding ways to influence individual behavior to be congruent with management's objectives

Question: What are the assumptions of Maslow's need theory?

Answer: Abraham Maslow (1908-1970) developed a theory of motivation that was based on three assumptions about human nature. A. Human beings have needs that are never completely satisfied. B. Human behavior is aimed at satisfying the needs that are yet unsatisfied at a given point in time. C. Needs fit into a somewhat predictable hierarchy

ranging from basic, lower-level needs to higher-level needs: 1) Physiological (lowest) 2) Safety 3) Belongingness or social 4) Esteem Self-actualization (highest and NOT achieved by everyone)

Question: What is Globalization?

Answer: Organizational operations no longer stop at geographic borders. Managers in all types and sizes of organizations are faced with the opportunities and challenges of globalization.

Question: Why we use quantitative approach to management?

Answer: The quantitative approach involves the use of quantitative techniques to improve decision making. This approach has also been labeled operations research of management science. It includes applications of statistics, optimization models, information models, and computer simulations

Question: How many branches of quantitative management?

Answer: There are three main branches in the Quantitative Management Viewpoint: management science, operations management, and management information systems
Management science (or operations research as it has been called) is an approach aimed at increasing decision effectiveness through the use of sophisticated mathematical models and statistical methods. This is NOT a term to be used synonymously with either the term “Scientific Management” described earlier featuring Taylor and others or “The Science of Management,” a term that usually refers broadly, to a deliberate, rational approach to management issues.
Operations Management is the function or field of expertise that is primarily responsible for the production and delivery of an organization’s products and services. Management information systems (MIS) is the name often given to the field of management that focuses on designing and implementing computer-based information systems for use by management

Question: Who are early advocates?

Answer: Four people stand out as early advocates of the OB approach. These include Robert Owen Hugo Munsterberg, Mary Parker Follett, and Chester Barnard.

Question: What reflects the Hawthorne Studies?

Answer: 1. In the first set of studies, no correlation was found between changes in lighting conditions and individual work performance. In fact, performance nearly always went up with any change—brighter or darker—in illumination. 2. In the second set of studies, the

concept of the Hawthorne effect emerged. The Hawthorne effect refers to the possibility that individuals singled out for a study may improve their performance simply because of the added attention they receive from the researchers, rather than because of any specific factors being tested in the study. 3. The third set of studies centered on group production norms and individual motivation.

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Authority: the formal and legitimate right of a manager to make decisions, issue orders, and allocate resources to achieve organizational goals.

Behavioral management theory: : a method that focuses on people as individuals with needs (also known as the human relations movement).

Compensation: : all work-related payments, including wages, commissions, insurance, and other benefits.

Continuous process: : a system that produces goods by continuously feeding raw materials through highly automated technology.

Control: : the systematic process of regulating organization activities to make them consistent with the expectations established in plans, targets, and standards of performance.

Concurrent control: : method of regulation applied to processes as they are happening.

Cost-leadership strategy: : system that focuses on keeping costs as low as possible through efficient operations and tight controls.

Crisis problem: : an unexpected problem that has the potential to lead to disaster if not resolved quickly and appropriately.

Cross-functional teams: : groups of experts in various specialties (or functions) who work together on solutions to organizational problems.

Decentralized organizations: : firms that consciously attempt to spread authority to the lowest possible levels.

Demographics: : measurements of various characteristics of the people and social groups who make up a society.

Development plans: : a series of steps that can help employees acquire skills to reach long-term goals, such as job promotions.

Division of labor: : see work specialization.

Financial audits: : formal investigations to ensure that procedures, policies, laws, and ethical guidelines are followed in the handling and reporting of financial activities.

Financial ratio analysis: : the relationship between specific figures on an organization's financial statements; helps explain the significance of those figures.

First-line management: : the lowest level of management.

Flexiplace: : see telecommuting.

Force-field analysis: : a technique to implement change by determining which forces drive change and which forces resist it.

Functional authority: : authority to make decisions about specific activities undertaken by personnel in other departments.

Job enlargement: : a type of job re-design that increases the variety of tasks a position includes (also known as horizontal job loading).

Job sharing: : process in which one full-time job is split between two or more persons (also known as twinning).

Joint venture: : a business relationship formed between a domestic and foreign firm.

Kaizen: : a Japanese term used in the business setting to mean incremental, continuous improvement.

Leading: : establishing and influencing others to follow a specific direction.

Learning organizations: : firms that utilize people, values, and systems to continuously change and improve performance based on the lessons of experience.

Legitimate power: : vested authority stemming from a formal management position in an organization.

Licensure agreement: : contract that grants one firm the right to make or sell another company's products.

Line authority: : a manager's right to direct the work of his or her employees and make decisions without consulting others.

Liquidity ratios: : measurements of an organization's ability to generate cash.

Manager: : a person responsible for the work performance of one or more other persons.

Quality: : reflects the degree to which a goods or services meet the demands and requirements of the marketplace.

Quantitative approach: : using quantitative techniques, such as statistics, information models, and computer simulations, to improve decision making.

Queuing theory: : a rationale that helps allocate services or workstations to minimize customer waiting and service cost.

Quotas: : government regulations that limit the import of specific products within the year.

Recruitment: : activities an organization uses to attract a pool of viable candidates.

Reengineering: : redesigning processes requiring input from every employee in the company to achieve dramatic improvements in cost, quality, service, and speed.

Referent power: : influence that results from leadership characteristics that command identification, respect, and admiration from subordinates (also known as charismatic power).

Resources: : the people, information, facilities, infrastructure, machinery, equipment, supplies, and finances at an organization's disposal.

Risk: : the environment that exists when a manager must make a decision without complete information.

Rule: : an explicit statement that tells a supervisor what he or she can and cannot do.

Satisfice: : the making of the best decision possible with the information, resources, and time available.

Scalar principle: : a system that demonstrates a clearly defined line of authority in the organization that includes all employees.

Simulation: : a broad term indicating any type of activity that attempts to imitate an existing system or situation in a simplified manner.

Situational theory: : see contingency theory.

Small-batch production: : manufacturing of a variety of custom, made-to-order products.

Social network: : see grapevine.

Strategic change: : revision that takes place when a company changes its tactics (strategy) — possibly even its mission statement — to achieve current goals.

Strategic plan: : an outline of steps designed with the goals of the entire organization as a whole in mind, rather than with the goals of specific divisions or departments.

Structural change: : variation that occurs when a company changes its procedures, policies, and rules, and as a result, its organizational structure.

Structured problems: : familiar, straightforward, and clear difficulties with respect to the information needed to resolve them.

Tactical plan: : steps detailing the actions needed to achieve the organization's larger strategic plan.

Tariffs: : taxes placed on imports and/or exports in response to a political event.

Interpersonal communication: : real-time, face-to-face, or voice-to-voice conversation that allows immediate feedback.

Intrapreneurship: : organizational culture that allows employees flexibility and authority in pursuing and developing new ideas.

Job analysis: : a study that determines all tasks and qualifications needed for each position.

Job description: : a written statement of a job's requirements, processes, and rationale.

Job enrichment: : a type of job re-design that not only includes an increased variety of tasks, but also provides the employee with more responsibility and authority (also known as vertical job loading).

Job rotation: : temporarily assigning employees to different job, or tasks to different people, on a rotating basis.

Team structure: : organizational design that places separate functions into a group according to one overall objective.

Technology: : the knowledge, machinery, work procedures, and materials that transform inputs into outputs.

Telecommuting: : a work arrangement that allows at least a portion of scheduled work hours to be completed outside of the office, with work at home as one of the options (also known as flexiplace).

Total Quality Management (TQM): : a philosophy that states that uniform commitment to quality in all areas of the organization promotes a culture that meets consumers' perceptions of quality.

Twinning: : see job sharing

Unity of command: : principle that states that an employee should have one and only one supervisor to whom he or she is directly responsible.

Unstructured problems: : difficulties that involve ambiguities and information deficiencies and often occur as new or unexpected situations.

Validity: : proof that the relationship between a selection device and some relevant job criterion exists.

Vertical job loading: : see job enrichment.

Vision: : the ability of the leader to bind people together with an idea.

Wholly-owned subsidiary: : a foreign firm owned outright, or with a controlling interest, by an out-of-country firm.

Work specialization: : the degree to which organizational tasks are divided into separate jobs (also known as the division of labor).

Zero defects: : a program that emphasizes doing it right the first time.

Brainstorming: : an idea-generating process that encourages the development of alternatives while withholding criticism of those alternatives.

Bureaucracy: : a form of organization based on logic, order, and legitimate use of formal authority.

Decision tree: : a diagram that analyzes hiring, marketing, investment, equipment purchases, pricing, and similar decisions. Decision trees assign probabilities to each possible outcome and calculate payoffs for each decision path.

Delegation: : the downward transfer of authority from a manager to a subordinate.

Embargo: : a prohibition on trade in a particular area.

Empowerment: : giving individuals an organization autonomy.

Expectancy theory: : a motivational theory stating that the three factors that influence behavior are the value of the reward, the relationship of the reward to performance, and the effort required for performance

Expert power: : a leader's special knowledge or skills regarding the tasks performed by followers.

Exporting: : selling of an organization's products to a foreign broker or agent.

Feedforward controls: : method used to identify and prevent defects and deviations from standards.

Grapevine: : the informal communications network within an organization (also known as social network and informal channels).

Horizontal job loading: : see job enlargement.

Human relations movement: : see behavioral management theory.

Incentive pay: : links compensation and performance by paying employees for actual results, not for seniority or hours worked.

Income statement: : a report that presents the difference between an organization's income and expenses to determine whether the firm operated at a profit or loss over a specified time.

Informal channels: : see grapevine.

Network structure: : an operating process that relies on other organizations to perform critical functions on a contractual basis.

Open system: : a method in which an individual or organization must interact with various and constantly changing components in both the external and internal environments.

Operational goals: : specific, measurable results expected from first-level managers, work groups, and individuals.

Organizational change: : a significant change that affects an entire company.

Organizational chart: : a pictorial display of the official lines of authority and communication within an organization.

Organizational climate: : the byproduct of organizational culture; it is the barometer for determining the morale of the employees.

Organizational culture: : an organization's personality.

Organizational design: : the creation or change of an organization's structure, the configuration and interrelationships of positions and departments.

Organizational development (OD): : a plan that focuses on changing an entire organization by changing processes and organizational culture.

Organizing: : the process of establishing the orderly use of resources by assigning and coordinating tasks.

Orientation: : a socialization process designed to provide necessary information to new employees and welcome them into the organization.

Performance appraisal: : a formal, structured system designed to measure an employee's job performance against designated standards.

Philosophy of management: : a manager's set of personal beliefs and values about people and work.

Plan: : a blueprint for goal achievement that specifies the necessary resource allocations, schedules, tasks, and other actions.

Planned change: : the deliberate structuring of operations and behaviors in anticipation of environmental forces.

Planning: : the act of determining the organization's goals and defining the means for achieving them.

Privacy laws: : legal rights of employees regarding who has access to information about their work history and job performance.

Procedure: : a set of step-by-step directions that explain how activities or tasks are to be carried out.

Process theories: : rationales that attempt to explain how workers select behavioral actions to meet their needs and determine their choices.

Profitability ratios: : measurements of an organization's ability to generate profits.

Acceptance theory of management : principle that emphasizes the willingness of subordinates to accept those with authority to act.

Accountability : the answering for one's actions and accepting the consequences

Affirmative action : a plan that requires employers to make an extra effort to hire and promote people who belong to a protected group

Boundary spanning: : the process of gathering information from the external environment to identify current or likely events and determine how those events will affect the organization.

Centralized organization: : authority is concentrated at the top of the organization.

Chain of command: : a line of authority that links all persons in an organization and defines who reports to whom.

Classical administrative: : the branch of classical management theory that emphasizes the flow of information in organizations.

Classical management theory: : a theory, developed during the Industrial Revolution, that proposes "one best way" to perform tasks. Classical management theory developed into two separate branches: the classical scientific school and the classical administrative school.

Closed system: : an organization that interacts little with its external or outside environment.

Coercive power: : authority to punish or recommend punishment.

Communication: : the exchange of ideas, messages, or information, by speech, signals, or writing.

Contingency theory: : this principle examines the fit between the leader and the situation and provides guidelines for managers to achieve an effective fit (also known as situational theory).

Differentiation strategy: : a plan whereby a company attempts to set the organization's products or services apart from those of other companies.

Charismatic power: : see referent power.

Classical scientific: : a branch of the school of classical management theory, whose emphasis is on increasing productivity and efficiency.

Competitive advantage: : any aspect of an organization that distinguishes it from its competitors in a positive way.

Condition of certainty: : situation that occurs when the decision maker has perfect knowledge of all the information needed to make a decision.

Content theory: : identifies physical or psychological conditions that act as stimuli for human behavior.

Contingency planning: : development of alternative courses of action that can be implemented if and when the original plan proves inadequate because of changing circumstances.

Employee benefits: : legally required or voluntary compensation provided to employees in addition to their salaries.

Financial statements: : reports that provide management with information to monitor financial resources.

Flextime: : an employment alternative that allows employees to decide, within a certain range, when to begin and end each work day.

Formal structure: : the hierarchical arrangement of tasks and people within an organization.

Functional structure: : an organizational design that groups positions into departments on the basis of the specialized activities of the business.

Functional teams: : work groups that perform specific organizational functions with members from several vertical levels of the hierarchy.

Management: : the process of administering and coordinating resources effectively, efficiently, and in an effort to achieve the goals of the organization.

Management information systems: (MIS) : collects, organizes, and distributes data in such a way that the information meets managers' needs.

Mass production: : a system used to manufacture a large number of uniform products in an assembly line.

Means-end chain: : the effective design of organizational goals that encourages the accomplishment of low-level goals as a way of achieving high-level goals.

Mechanistic structure: : a highly bureaucratic organizational method, with centralized authority, detailed rules and procedures, a clear-cut division of labor, narrow span of controls, and formal coordination.

Mission statement : a document that describes what an organization stands for and why it exists.

Motion study: : research designed to isolate the best possible method of performing a given job.

Multinational corporations (MNC) : : organizations operating facilities in one or more countries.

Need theory: : a construct of motivation based upon physical or psychological conditions that act as stimuli for human behavior.

Nonverbal communication: : actions, gestures, and other aspects of physical appearance that can be a powerful means of transmitting messages (also known as body language).

Ongoing plans: : see continuing plans.

Operational plan: : developed by a first level supervisor as the means to achieve operational objectives in support of tactical plans.

Organic structure: : a management system founded on cooperation and knowledge-based authority.

Organization: : a group of individuals who work together to accomplish a common goal.

Reward power: : the authority to reward others.

Selective perception: : the tendency to single out for attention those aspects of a situation or person that reinforce or appear consistent with one's existing beliefs, values, or needs.

Self-fulfilling prophecy: : a belief that a manager can, through his or her behavior, create a situation where subordinates act in ways that confirm his or her original expectations.